

The offering should lay out how the new asset will be distributed, and how the funds that are raised will be used. Often the founding team will keep some of the assets for themselves, which is similar to when a founding team of a startup keeps a percentage of the company. What's important is that these terms are fair and accompanied by reasonable explanations.

Crowdsale Begins

Typically, the innovative investor will submit funds for an ICO by sending either bitcoin or ether to a special address the developer team provides. Just as one could send bitcoin or ether to an address to pay for an online purchase, innovative investors can send bitcoin or ether to an address to reserve their share of an ICO.

Depending on the intent of the ICO, investors may receive a cryptocurrency, cryptocommodity, or cryptotoken in return for their initial investment. How an investor receives the appropriate cryptoasset can differ, as some may require the creation of a wallet to store the asset prior to making them available for sale on an exchange (creating this wallet might be a more technical effort and could require following detailed instructions from the ICO provider); others will simply provide access to the asset that can be moved to an exchange (this can have an impact on the value of an asset if there's a large amount of early sales on exchanges soon after the closing of an ICO). Typically, information on the ICO will outline how the asset delivery process will work, and this should be read